investments, and strengthening China's hand in its deals with Russia. In fact, financial constraints and the need for prefinancing of major projects led the Kremlin to permit Chinese entities and a consortium of Indian firms to acquire equity positions above the 25 percent limit in strategic sectors such as hydrocarbons.[142] Conversely, sanctions appear to have strengthened Putin's regime, as Kremlin insiders have been prioritized in bailouts and with selective import substitution projects. Polls also show higher support for Putin and increased negativity toward the West, whose governments are seen to "weaken and humiliate" Russia.[143]

Moscow not only wants to insulate itself from the threat of future sanctions, it also is experimenting with using collective financial statecraft, including as counteroffensives.[144] Russia moved to prioritize its pivot to China, to strengthen cooperation in the BRICS, and work to diminish the influence of the dollar while bolstering BRICS currencies. As shown in Chapter 3, the BRICS card was useful during Moscow's standoff with the West over Ukraine. Putin adroitly demonstrated that Russia was a major power that could not be isolated by the United States and Europe. Beijing helped with collective financial statecraft, such as coordinating on alternative payments systems and credit rating agencies, as well as with infusions of cash. For example, China arranged the $25 billion prepayment of oil for the Power of Siberia pipeline agreed to in May 2014 and $12 billion in credit lines for Rosneft in 2016. The looser implementation of sanctions by European countries also has allowed some deals and loans to Russia to go through. However, the BRICS cannot replace the Western capital and technology that Russia needs.[145]

After the annexation of Crimea in March 2014, the G8 club of advanced Western economies suspended Russia's attendance, and President Obama threatened to "impose a greater cost" on the Kremlin if it escalated the confrontation over Ukraine. Russia was not permanently ejected from the G8; the democratic leaders held open the prospect of readmission if Moscow would agree to "abide by international rules."[146]

Whether Western sanctions or the threat of more severe sanctions, including closing Russia out of the U.S.-based Society for Worldwide Interbank Financial Telecommunication (SWIFT)—an action taken against Iran in 2012, deterred Putin from full-scale territorial aggression against Ukraine is publicly unknown. However, Medvedev and other officials